

GLOSSARY

Apparel: clothing, especially outer garments; attire.

Boycott: to combine together in refusing to deal or associate with.

Corporate ethics: adherence to a code of conduct on ethics where companies encompass human rights into their business strategy.

Corporate social responsibility: corporate social responsibility (CSR) is about the core behaviour of companies and the responsibility for their total impact on the societies in which they operate.

Development Assistance: grants or Loans to countries and territories which are undertaken by the official sector with promotion of economic development and welfare as the main objective.

Economic Colonialism: Colonialism is a system in which a state claims sovereignty over territory and people outside its own boundaries, often to facilitate economic domination over their resources, labour, and often markets.

Fair Trade: a market system that is to some degree regulated, to ensure that producers benefit from trade; e.g., producers are guaranteed a minimum price when they sell their product. Fair trade is based on the belief that marginalized producers in developing countries do not benefit from free trade.

Foreign investment: investment in one country by governments or corporations owned in another country.

Free Trade Area of the Americas: special areas and considered not part of the customs territory of America where the goods not being in the free-circulation are placed not subject to the customs formalities and not in the release for free circulation provided that they are not used or consumed in the circumstances prescribed in the customs legislation; however; are deemed not being on the American the custom's territory in respect of import duties and commercial policy measures; are the premises in which the goods released for free circulation are placed to benefit from the normal export procedures.

Free Trade Zones: an area within a country (a seaport, airport, warehouse or any designated area) regarded as being outside its customs territory. Importers may bring goods of foreign origin into such an area without paying customs duties and taxes, pending their eventual processing, transshipment or re-exportation. Free trade zones may also be known as "free ports", "free warehouses", and "foreign trade zones".

Garment: an article of clothing.

GDP: Gross Domestic Product is a statistical measure of value of final goods and services produced by a nation's economy.

General Agreement on Tariffs and Trade: treaty organization affiliated with the United Nations whose purpose is to facilitate international trade. This agreement was first signed in 1947. It was designed to provide an international forum that encouraged free trade between member states by regulating and reducing tariffs on traded goods and by providing a common mechanism for resolving trade disputes. GATT membership now includes more than 110 countries.

General Agreement on Trade in Services: an agreement in which the goal is to further liberalize services in the public domain. It is a multilateral agreement that defines restrictions on

a broad range of government measures that in any way may potentially affect the trade in services.

GINI Index: a measure of income inequality, which ranges from 0 (complete inequality) to 1 (complete equality).

Globalisation: the trend towards greater interconnectedness of the world's financial, economic, technological, political, cultural, sociological, ecological, and geographical systems. Some argue that globalisation improves living standards through out the world, while others say that its effects are more harmful than beneficial.

G8: an informal group of eight countries: Canada, France, Germany, Italy, Japan, Russia, the United Kingdom and the United States. Each year, G8 leaders and representatives from the European Union meet to discuss broad economic and foreign policies. Its main objectives are to support economic growth, reduce global poverty, strengthen good governance, work toward sustainable development, promote peace and security, and improve global public health and public safety.

G20: promotes discussion, and studies and reviews policy issues among industrialized countries and merging markets with a view to promoting international financial stability.

Hectare: One hectare (ha) is 10,000 square meters (100 x 100 meters). One hectare is equal to 2.47 acres.

Home workers: workers who mainly work within the household.

Inflation: a persistent increase in the level of consumer prices or a persistent decline in the purchasing power of money, caused by an increase in available currency and credit beyond the proportion of available goods and services.

International Monetary Fund: a United Nations agency to promote trade by increasing the exchange stability of the major currencies. [syn: [International Monetary Fund](#), [IMF](#)]

Interest Rates: the percentage fee received or paid by individuals or organizations when they lend or borrow money.

International Trade: a transaction of a security or commodity.

Living Wage: a wage sufficient to provide minimally satisfactory living conditions. Also called **minimum wage**.

Lesser Developed Countries: lesser industrialized countries than the developed countries whose economies have created a certain level of consumerism, wealth, and a certain development of infrastructure.

Lilliput Strategy: similar to the Lilliputians in Gulliver's Travels who were able to capture Gulliver, even though he was many times their size, by tying him with hundreds of threads, workers and communities are reversing the Race to the Bottom by joining together around the world. Instead of competing in the Race to the Bottom, people are creating new grassroots movements using new technologies that go beyond borders; making coalitions between labour, environment, consumer, children's rights, and various other groups; etc.).

MAI: the Multinational Agreement on Investment is an investment treaty currently being negotiated within the OECD. The MAI is designed to restrict governments from regulating corporate behaviour.

Maquila: any partial activity in a manufacturing process, such as assembly or packaging carried out by someone other than the original manufacturer.

Multi-National Corporations: corporations or companies based in more than one country.

North American Free Trade Agreement (NAFTA): a trade agreement that came into effect on January 1, 1994, which called for the gradual removal of tariffs and other trade barriers on goods produced and sold in North America.

Pad Thai: Pad Thai, which means "soft noodle," is a flavourful combination of noodles, tofu and eggs in a spicy peanut sauce. Pad Thai is one of the most popular Thai dishes.

Poverty: Poverty is hunger. Poverty is lack of shelter. Poverty is being sick and not being able to see a doctor. Poverty is not being able to go to school and not knowing how to read. Poverty is not having a job, is fear for the future, living one day at a time. Poverty is losing a child to illness brought about by unclean water. Poverty is powerlessness, lack of representation and freedom. (World Bank)

Race to the bottom: a term used by some to describe the competition between Third World countries for foreign investment. Countries are forced to outbid each other in offering cheaper labour and offering more stringent legislation to control labour. Corporations can choose between people and countries, putting them up against each other to see who can provide the lowest wages and cheapest environmental standards.

Structural Adjustment Programs (SAP): an economic policy imposed on a country so that it can qualify to receive financial help from international agencies such as the World Bank or the International Monetary Fund.

Sweatshops: a shop or factory in which employees work long hours at low wages under poor conditions.

Trade agreements: an agreement between countries on how they conduct the trade of goods and services (See NAFTA as an example).

World Bank: a specialized agency that furthers the economic development of member nations, chiefly through guaranteed loans. The Bank obtains most of its funds through borrowings, and the remainder through government subscription. Since voting power is proportional to the amount of money received from each government, the Bank is essentially controlled by the richer countries.

World Trade Organization: the only global international organization dealing with the rules of trade between nations. At its heart are the WTO agreements, negotiated and signed by the bulk of the world's trading nations and ratified in their parliaments. The goal is to help producers of goods and services, exporters, and importers conduct their business.